PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
FORM IV TAHOSSA NORTH WESTERN ZONE MOCK EXAMINATION 2025

062 **BOOK KEEPING**

TIME: 3HOURS **AUGUST 2025**

INSTRUCTIONS

1. This paper consists of sections A, B, and C
2. Answer **all** questions
3. Cellular phones are not allowed in the examination room
4. Write your number on every page of your answer sheets

SECTION A (20 marks)

Answer all question from this section

1. For each of the items i-x, choose the correct answer from among the given alternatives and write its letter beside the item number

i. If the stock of the year and is undervalued, gross profit will be
   A. Understate
   B. Started clearly
   C. Not affected
   D. Only affected next year
   E. Overstated

ii. The value of closing stock is found by
   A. Maintaining stock account
   B. Adding opening stock to purcahases
   C. Deducting purchases from sales
   D. Looking in stock account
   E. Dong stock taking

iii. Given opening capital TZs 1650, closing capital TZs 1135 and drawings TZs 330 then

A. Profit for the year was shs. 2455

B. profit for the year was shs. 845

C. loss for the year was shs. 845

D. profit for the year was shs. 185

E. loss for the year was shs.185

iv. Given opening balance of deptors shs.1150, credit sales shs, 4800 and receipts from debtors shs, 4500. Then closing balance of debtors should be shs.

A. 1850
B. 8350
C. 1450
D. 3650
E. 850

v. The result of decrease in the provision for debts is

A. An increase in gross profit

B. A decrease in gross profit

C. An decrease in net profit

D. A decrease in net profit

E. A decrease in debtors

vi. What is meant by the term salvage value?

A. Cash paid when asset is disposed

B. Estimated disposal value

C. Selling price of the assets

D. Cost price of the assets

E. Cash received when life of an assets end

vii. A receipt and payment account does not show

A. cheque paid out during the year

B. The accumalated fund

C. Receipts from sales of assets

D. Bank balances

E. Assets bought during the year

viii. Suppliers personal accounts a found in the

A. Nominal ledger

B. General ledger

C. Sales ledger

D. Returns ledger

E. Purchases ledger

ix. Which of these errors would be disclosed by the trial balance?

A. A purchase of TZs 2500 was amitted entirely from the books

B. Selling expenses were debited to sales account

C. Credit sale of Tshs 3,000 entered in both accounts as 300

D. Cheque Tzs 9,500 from kagoma entered in kagoma's account as Tzs 5,900

E. Tzs 5,500 paid for motor expenses debited to motor vehicle account

x. A business has the cost of goods sold worth Tzs 150,000 and the mark up of 40%, calculate the amount of sales for the business

A. Tzs 102,0000
B. Tzs 90,000
C. Tzs 60,000
D. Tzs 150,000
E. 210,0000

xi. What is the purpose of the provision for doubtful debts account in the business?

A. To write off bad debts

B. To recorver all bad debts

C. To record all possible bad debts

D. To provide debtors accounts

E. To record ba debts allowences

xii. How would you record the commission due to consignee in the books of consignee?

A. Dr Cosignee account and cr, consignment account

B. Dr, consignment account and and cr profit and loss account

C. Dr profit and loss account and cr consignment received account

D. Dr consigners account and cr commission received account

E. Dr, goods on consignment account and cr consignment account

xiii. How is the capital for a non- profit making organization describe

A. Capital employed fund

B. Capital supplied fund

C. Accumalated fund

D. Gross working capital

E. Accumalated shares fund

xiv. what is the main reasons for admitting a new partner in a partnership business

A. To gain more profit in the business

B. To receive more salaries

C. To help writing off bad depts.

D. To reduce the business losses

E. To expand the business

xv. A customer buys 100% items of Tzs 5,000 each and has been given a 25% trade discount if he pays with in 30 ays. What amount will he pay with in the discounting period?

A. Tzs, 735,000
B. Tzs , 573,000
C. Tzs 125, 000
D. Tzs 625, 000
E. Tzs 375,000

2. For each iterms (i-v) match the descriptions of book keeping concepts in column A with their corresponding names in column B

COLUMN A	COLUMN B
i. The exchange of equal value or benefits between two or more person ii. The immediate receipts or payment of cash for a financial transaction iii. The transactions for which payments or receipt of cash is made later iv. The summary of business transactions affecting a person, property, income or expenses. v. The name of a person to whom the business owes money	A. Accounting B. Bookkeeping C. Cash transactions D. Credit transactions E. Creditors F. Debtors G. Business transactions H. Economic transactions

SECTION B.

Answer all questions

3. Briefly describe five (5) books of prime entry
4. Elaborate the following accounting concepts.
   a) Accrued expenses
   b) Bookkeeping
   c) Credit transaction
   d) Carriage outwards
   e) Gross profit
5. The following errors were discovered in the books of Malewa Kapala shop for the year ending 31st December 2018. Prepare journal entries to correct the errors (ignore narrations)
   a) Sales daybooks was overcasted by Tzs 20,000
   b) A sale of Tzs 50,000 to Xavies was wrongly debited to Xavery's account
   c) Repairs expenses of Tzs 18,000was wrongly posted to repairs account as Tzs 81,000
   d) Discount received worth Tzs 30,000 was erroneously posted to the debit of discount allowed account.
   e) Legal expenses of Tzs 90,000paid to advocate Mr.Mosha was debited to salaries and wages account.
   f) Motor car purchased for Tzs 170,000 was wrongly entered in purchases account
   g) Cash amounted to Tzs 15,000 received from Dasi was correctly entered in the cash book but wrongly posted to the debit of Dasian account.
   h) The sales and insurance accounts were undercast by Tzs 40,000.
   i) Wages account total was undercast by Tzs 78,200
6. The following information was entracted from the books of Kapala Traders for the year ending 31st Dec 2017

   Purchases…….2000,000
   Stock (1st Jan 2017…….150,000
   Stock(31st Dec 2017 …….. 300,000
   Sales…….. 2,500,000
   Expenses…… 200,000
   Rent received …… 100,000
   Were house wages ……. 80,000
   Carriage inward ……. 50,000

   Using the information provided, calculate
   i. The value of goods available for sale
   ii. The gross profit for the year
   iii. The net profit for the year the rate of stock turnover
   iv. Percentage of expenses over sales

SECTION C

Answer all questions from this section.

7. Azizi Ki keeps his books on a single entry system

	31/12/2016	31/12/2017
Clubfurniture	100,000	120,000
Stock	60,000	20,000
Debtors	120,000	140,000
Prepaid expenses		40,000
Creditors	40,000	?
Outstanding expenses	12,000	20,000
Cash	22,000	60,000

Receipt and payment during the year were as follows;

Receipts from debtors	420,000
Payment to customers	200,000
Carriage inwards	40,000
Drawings	120,000
Sundry expenses	140,000
Furniture purchased	20,000

Other information

There was a considerable amount of cash sales. Credit purchases during the year amounted to Tzs 230,000. Provide for doubtful debts to the extent of 10% on debtors.

Required;

a) Prepare income statement for the year ending 31st Dec 2017
b) Prepare total debtors and creditors account as well as cash account.

8. Enter the following transactions in the three column cash book of Mr. Mzize, balance it off at the end of April 2017 and show the discounts account in the general ledger

April 1. Mr. Mzize had the following balance in her cash book cash in hand Tzs 62,000 and bank Tzs 714,000

2. The following debtors paid their accounts by the cheque, in each case deducting 5% cash discount G. George Tzs 26,000, P. Peter Tzs 32,000, T. Tabu Tzs 42,000
4. Mr.Mzize paid rates by cheque Tzs 43,000
6. Mr.Mzize receid a loan from F. Fabian Tzs 500,000 by cheque.
8. Mr. Mzize paid the following accounts by cheue and in each case deducting 3% cash discount . R.Roberts Tzs 72,000, G.Green Tzs 96,000, L. Lamons Tzs 160,000.
10. Mr. Mzize paid general expenses in cash Tzs 8,100

12. J.Juma a debtors, paid his account of Tzs 9000 by cheque, Tzs 8,800after deducting Tzs 200 cash
15. Mr. Mzize paid salaries in cash Tzs 58,000
21. Mr.Mzize withdraw cash from bank Tzs 40,000 for business use.
24. Mr. Mzize withdraw cash for personal use Tzs 20,000
25. Mr. Mzize bought motor van paying by cheque Tzs72,000
30. Mr. Mzize received commission by cheque Tzs 12,000

9. The following trial balance was extracted from the books Maseke Tete store on 28th February 2018.

Maseke Tete's Trial Balance as at 28th feb 2018

DETAIL	**DR**	**CR**
Purchase and sales	9,280,000	15,716,500
Cash at bank	410,000	
Cash in hand	32,400	
Capital account on 1st March 2017		1,140,000
Drawings	1,710,000	
Office furniture	2,290,000	
Rent	340,000	
Wages and salaries	314,000	
discounts	82,000	16,000
Account receivable and payable	123,160	524,500
Inventory 1st March 2017	412,000	
Allowance for doubtful debts on 01/03/2017		40,500
Delivery van	2,309,000	
Van running cost	61,900	
Bad debts written off	73,000	
Total	17,437,500	17,437,500

Notes.

a) Inventory or 28th Feb 2018 Tzs 240,000
b) Wages and salaries accrued 28th Feb 2018 Tzs 16,000
c) Rent prepaid at 28th feb 2018 Tzs 23,000
d) Van running cost owing at 28th Feb 2018 Tzs 7,200
e) Increased the allowance for doubtful debts by Tzs 9100
f) Provide for depreciation as follows. Office furniture Tzs 38,000 delivery van 125,000

Use the information provided to prepared Maseke Tete's stock income statement for the year ending 28th Feb 2018 and the statement of financial position as at 28th Feb 2018.